

7. 9:00 AM CASE NUMBER: C22-00988
CASE NAME: NASREDDINE DAOUD VS. BAY AIR SYSTEMS, INC.
COMPLIANCE HEARING SET BY THE COURTROOM

FILED BY:

TENTATIVE RULING:

Summary

ORDER TO SHOW CAUSE

Class counsel is **ordered to appear** to show cause as set forth below.

This matter came before the Court on the Court's order for a compliance hearing regarding the Final Approval of Class Action Settlement entered on November 11, 2025. The Court having reviewed Plaintiff's compliance report, the declaration of Jarod Salinas of Phoenix Settlement Administrators filed on June 26, 2026, and all other papers and proceedings herein; and

The Court finding that Plaintiff has substantially complied with the Court's prior Orders, except that the declaration of Mr. Salinas fails to account for the five percent (5%) retention of attorney's fees held subject to release upon final compliance;

IT IS HEREBY ORDERED AS FOLLOWS:

1. Plaintiff's Counsel shall appear at the compliance hearing to show cause why the five percent (5%) retention of attorney's fees has not been accounted for in the compliance materials and to address the Court's inquiry regarding same. Such appearance may be made remotely unless otherwise directed by the Court.
2. If the Settlement Administrator has released the five percent (5%) retention of attorney's fees, the Court requests an explanation as to why the Settlement Administrator did not comply with the Court's order.

8. 9:00 AM CASE NUMBER: C23-02401
CASE NAME: KIARA ROSS VS. KOTLIER ERNEST M.
CROSS COMPLAINT FILED ON 12/12/2025 BY DOUG SMITH ET AL

FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by cross-defendants Doug Smith, Fuller Properties, LLC, and approximately 20 other entity cross-defendants to the cross-complaint by Sequoia Equities, Inc. and Alder Creek Management, Inc.. For the reasons set forth, the Court rules as follows: (a) general demurrers to cross-complaint in its entirety – **overruled**, as set forth below; (b) general demurrers to first and second causes of action – **sustained, as set forth below**; and (c) general demurrers to third, fourth, and fifth causes of action - **overruled**.

Background

This case involves a class action initiated by tenants of properties managed by defendants and cross-

complainants Sequoia Equities, Inc. and Alder Creek Management, Inc. (collectively for convenience, "Sequoia Parties"). The class plaintiffs initially sued the Sequoia Parties as well as dozens of entities alleged to be the owners/landlords of the properties subject to the tenants' claims asserted in the action. The claims in general terms allege that the tenants' security deposits and move out expenses at the termination of tenancies were mishandled and improperly documented and charged, among other things. In the operative first amended complaint filed April 8, 2024 (the "Ross Class Action FAC"), the scope of the class includes tenants whose tenancies terminated from September 25, 2019 to the present. (Ross Class Action FAC ¶ 77.) The parties in the main action have reached a settlement, subject to Court approval. The motion for preliminary approval of the class settlement, originally set for hearing on August 12, 2026, was continued to the date of the hearing on this demurrer.

After the Ross Class Action FAC was filed, on June 7, 2024, Fuller Properties, LLC and other owner/landlord entities (the "Fuller Plaintiffs" for convenience) filed their own complaint against the Sequoia Parties, initiating Case No. MSC24-01538 ("Fuller Action") pending in this Court. In the face of a demurrer to the original complaint, on November 14, 2024, the Fuller Parties filed a first amended complaint.

The parties in the Ross Class Action negotiated an agreement to dismiss the Fuller Plaintiffs from the Ross Class Action FAC without prejudice. The stipulation and order were filed on December 10, 2024.

On December 17, 2024, the Sequoia Parties answered the FAC in the Fuller Action. The Sequoia Parties moved to consolidate the Fuller Action with the Ross Class Action on June 26, 2025 (Cross-Def. RJN ¶ 2), but the motion was incorrectly filed and set for hearing before the department in the Fuller Action instead of the Ross Class Action, the lower-numbered case. The motion to consolidate was fully briefed with an opposition and reply by the initial hearing scheduled on the motion in the Fuller Action on October 13, 2025. However, the filing and briefing of the motion in the department with the higher numbered case (the Fuller Action) required a change in hearing dates to the correct department and re-filing of all the related motion papers in the Ross Class Action before the motion could be determined.

After the original motion to consolidate was filed and set for hearing, on October 14, 2025, the Sequoia Parties filed their cross-complaint in this action against Doug Smith, the alleged principal and alter ego of Fuller Properties, LLC and the other Fuller Plaintiffs, and against the Fuller Plaintiffs who are named as cross-defendants in this action ("Fuller Cross-Defendants" for clarity). (Smith and the Fuller Cross-Defendants are collectively referred to herein as the "Cross-Defendants" or the "demurring parties.")

The Sequoia Parties subsequently filed a motion for judgment on the pleadings on the Fuller FAC in the Fuller Action. That motion was granted in part on December 8, 2025. The Fuller Plaintiffs filed a second amended complaint in the Fuller Action ("Fuller 2AC") on December 23, 2025. The motion to consolidate was later denied by the Court without prejudice. (2/5/2026 Min. Order.)

The cross-complaint attaches 21 management agreements between the Sequoia Parties and the Fuller Cross-Defendants each dated December 27, 2021. (X-Compl. ¶¶ 48, 56.) The cross-complaint alleges causes of action for breach of contract, with separate counts for breach of express indemnity and breach of duty of defend (1st C/A), declaratory relief – contract (2nd C/A), equitable indemnity

(3rd C/A), contribution (4th C/A), and declaratory relief – tort (5th C/A). Cross-Defendants have filed general demurrers to each cause of action alleged in the Sequoia Parties' cross-complaint for failure to allege facts sufficient to state causes of action.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (*See also Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra*, 19 Cal.4th at 39.)

Cross-Defendants' Request for Judicial Notice

Demurring parties ask the Court to take judicial notice of several pleadings filed in this action and in the Fuller Action. (X-Def. RJN ¶¶ 1-7.) The request is unopposed, and the Court **grants** the request subject to the limitations on the scope of judicial notice under the applicable case law. (Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same].)

Exhibits Attached to Cross-Defendants' Reply

Defendant has attached five exhibits to the reply, without a separate request for judicial notice or a request for judicial notice in the text of the reply. The Court does not generally consider new evidence submitted for the first time with a reply, though in this case Exhibit A to the reply is a copy of one of the Management Agreements already attached to the cross-complaint and Exhibits B-D are pleadings filed in this case which the Court may consider. The Court will not consider Exhibit E to the reply as an unauthenticated document clearly not subject to judicial notice and therefore outside what the Court

can evaluate in deciding a demurrer. (*Evans, supra*, 38 Cal.4th at 6; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.)

The Sequoia Parties' Objection to the Demurrer Based on Noncompliance with the Meet and Confer Requirement

The Sequoia Parties objected to the Court's consideration of the demurrer based on the demurring parties' failure to conduct a Code-compliant meet and confer under Code of Civil Procedure section 430.41(a). The hearing on the demurrer was originally set for July 22, 2026. The Court found that the demurring parties had not conducted a compliant "meet and confer" under the statute, and the Court continued the hearing to this date for the parties to satisfy the statute. The Court required the parties to meet and confer by telephone, videoconference, or in person by August 10, 2026. The demurring parties filed a joint report attesting to their compliance with the Court's order and the statutory meet and confer requirement and asking the Court to continue the continued demurrer hearing from August 26, 2026 to a date prior to the September 16, 2026 hearing on the motion for preliminary approval of the class settlement.

Analysis

Cross-Defendants contend the cross-complaint fails to allege facts sufficient to support any of its causes of action for a number of reasons which the Court will address with regard to each claim below. Cross-Defendant Smith also contends that the cross-complaint fails to allege facts sufficient to support his personal liability on any of the causes of action based on an alter ego theory.

A. Whether the Cross-Complaint and Each Cause of Action Is Barred by Compulsory Cross-Complaint Requirement

A demurrer may be made to a complaint as a whole or to individual causes of action. (Code Civ. Proc. § 430.50(a).) The demurring parties demur to the cross-complaint in its entirety and to each cause of action on the ground that the cross-complaint is barred under Code of Civil Procedure section 426.30(a).

Cross-Defendants argue that the cross-complaint meets the definition of a "related cause of action" in Code of Civil Procedure section 426.10(c), and that the claims alleged are related causes of action to the claims alleged by the Fuller Plaintiffs in the Fuller Action. They argue that the claims therefore had to be asserted as a compulsory cross-complaint in the Fuller Action.

Code of Civil Procedure section 426.10(c) defines a "related cause of action" as "a cause of action which arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." The term "transaction" in the statute "is construed broadly" to include claims that are logically related to the claims alleged in the main action. (*Align Technology, Inc. v Tran* (2009) 179 Cal.App.4th 949, 960.)

Code of Civil Procedure section 426.30 addresses when a compulsory cross-complaint must be filed and the effect of failure to file a compulsory cross-complaint when required: "Except as otherwise provided by statute, if a party against whom a complaint has been filed and served fails to allege in a cross-complaint any related cause of action which (at the time of serving his answer to the complaint) he has against the plaintiff, such party may not thereafter in any other action assert against the

plaintiff the related cause of action not pleaded." (Code Civ. Proc. § 426.30(a) [emphasis added].)

"The compulsory cross-complaint statute is designed to prevent 'piecemeal litigation.' [Citation omitted.] I. . . . '[T]he law abhors a multiplicity of actions . . . the obvious intent of the Legislature . . . was to provide for the settlement, in a single action, of all conflicting claims between the parties arising out of the same transaction. [Citation.] Thus, a party cannot by negligence or design withhold issues and litigate them in successive actions; he may not split his demands or defenses; he may not submit his case in piecemeal fashion. [Citation.] [Citations omitted.] In furtherance of this intent of avoiding a multiplicity of actions, numerous cases have held that the compulsory cross-complaint statute—both section 426.30 and its predecessor statute (former section 439)—must be liberally construed to effectuate its purpose. [Citations omitted.]" (*Align Technology, Inc., supra*, 179 Cal. App. 4th at 959.)

1. Express Contractual Indemnity and Declaratory Relief – Contract (1st and 2nd C/As)

"Express, or contractual, indemnity 'refers to an obligation that arises []by virtue of express contractual language establishing a duty in one party to save another harmless upon the occurrence of specified circumstances.[]' [Citation, some internal quotation marks omitted.] A claim for contractual indemnity is akin to a claim for breach of contract. [Citation omitted.] Thus, a claim for contractual indemnity and breach of contract based on a refusal to honor an indemnity provision consist of the same elements: (1) the existence of an agreement containing a contractual indemnity provision; (2) the indemnitee's performance of the relevant provisions of the agreement; (3) a loss within the meaning of the indemnity agreement; and (4) damages sustained as a result of the breach of the indemnity agreement. [Citations omitted.]." (*Gumarang v. Braemer on Raymond, LLC* (2025) 110 Cal. App. 5th 370, 382.)

The Management Agreements which are alleged by the Fuller Plaintiffs as a basis for their claims in the Fuller Action are the same contracts on which the Sequoia Parties base their first and second causes of action in the cross-complaint in this case. (X-Compl. ¶¶ 48, 56 and Exh. A; Fuller FAC ¶ 34 and 6th C/A [Breach of Contract]; Code Civ. Proc. § 426.10(a).) The Sequoia Parties' breach of contract cause of action, asserted in two counts, alleges a breach of the Management Agreements which include a provision for the Fuller Cross-Defendants to indemnify, defend, and hold the Sequoia Parties harmless from claims in connection with the management and operation of the properties owned by the Fuller Cross-Defendants. The Sequoia Parties allege the indemnity, defense, and hold harmless obligations were "triggered" by the filing of the Ross Class Action complaint, and the breach of the obligations is based in part on the Fuller Cross-Defendants' failure to defend them from the Ross Class Action Plaintiffs' claims. (X-Compl. ¶¶ 48-63.) In the Fuller FAC, which was the operative pleading in the Fuller Action at the time the cross-complaint was filed in this case, the Fuller Plaintiffs allege the filing of the Ross Class Action and the allegations of mishandling tenant security deposits and improper repair charges as a basis for the claims made against the Sequoia Parties in the Fuller Action. (Fuller Plaintiffs' FAC ¶¶ 31-43, 54-57, 72-74.)

In opposition to the demurrer, the Sequoia Parties argue that the claims alleged in their cross-complaint arise out of the Ross Class Action claims which are based on conduct by the Fuller Cross-Defendants that preceded the Sequoia Parties' Management Agreements with the Fuller

Plaintiffs/Fuller Cross-Defendants. The Sequoia Parties also argue that the Fuller Plaintiffs' claims for "lost rent" are not alleged in the Ross Class Action and that the Fuller Plaintiffs' claims in the Fuller Action relate to the Sequoia Parties' "performance" of the Management Agreements but not conduct by the Fuller Plaintiffs in their treatment of tenants prior to the Management Agreements being entered into. (Opp. p. 4, ll. 1-16.)

The arguments are true only in part. The classes alleged in the Ross Class Action FAC include tenants whose leaseholds terminated from September 25, 2019 "to the present." (Ross Class Action FAC ¶ 77.) The cross-complaint shows the Management Agreements attached as Exhibit A to the cross-complaint were entered into in December 2021. The Ross Class Action claims therefore extend to the period of the Sequoia Parties' management under the Management Agreements.

The Sequoia Parties also cite Code of Civil Procedure section 426.40 as support for their argument that the cross-complaint claims did not have to be filed as a compulsory cross-complaint in the Fuller Action. Code of Civil Procedure section 426.40 sets forth one of the exceptions to the compulsory cross-complaint filing requirements. That statute states that the article on compulsory cross-complaints does not apply if "[a]t the time the action was commenced, the cause of action not pleaded was the subject of another pending action." (Code Civ. Proc. § 426.40(c) [emphasis added].)

As applied to these cases, "the time the action was commenced" means the time the Fuller Action was commenced, which was June 2024. The "cause of action not pleaded" refers to the causes of action alleged in the cross-complaint which were "not pleaded" until the Sequoia Parties filed the cross-complaint being challenged. The Court is not persuaded that the statutory phrases "causes of action not pleaded" which were "the subject of another pending action" can be interpreted to mean the Ross Class Action claims against the Sequoia Parties, which is what the Sequoia Parties seem to argue to justify their failure to file the cross-claims in the Fuller Action. Stretching the words of the statute to make the Sequoia Parties' indemnity or contribution causes of action the "subject" of the Ross Class Action FAC is a bridge too far.

The decision *Hulsey v. Koehler* (1990) 218 Cal.App.3d 1150 does not help resolve the compulsory cross-claim issue here. In that case, the Court of Appeal upheld a trial court's denial of a motion by the defendant to amend her answer to assert Code of Civil Procedure section 426.30 as a defense to the action. The Court stated that "[i]n the published portions of this opinion, we hold that section 426.30 is analogous to the doctrine of res judicata and must be specially pleaded as an affirmative defense. Failure to so plead section 426.30 constitutes a waiver of this defense. We also find that the trial court did not abuse its discretion in denying as untimely Koehler's motion to amend at trial." (*Id.* at 1153 [emphasis added].) The Court rejected the argument that the compulsory cross-complaint bar of section 426.30 could be asserted without being pled as an affirmative defense, but it did not have to determine whether the bar applied.

The Sequoia Parties argue that their claims are for "indemnity" which do not accrue until liability and payment have been made on the underlying claim. The case they cite to support that proposition addresses equitable indemnity, not express contractual indemnity. (See Opp. p. 4, ll. 21-28, citing *Valley Circle Estates v. VTN Consolidated, Inc.* (1983) 33 Cal.3d 604, 611.) While the Court agrees that the equitable indemnity and contribution claims had not accrued, are not compulsory cross-claims and are not barred, as discussed below, the express contractual indemnity claims allege breaches of

the Fuller Cross-Defendants' obligations that arose when they failed to accept the tender of the Sequoia Parties' defense, forced the Sequoia Parties to engage counsel and incur attorneys' fees, and were otherwise not held harmless from the claims by the Ross Class Action Plaintiffs. (X-Compl. ¶¶ 48-63.) The factual allegations support that those claims had accrued as of December 2024, as the Sequoia Parties had already appeared and begun defending the Ross Class Action by that time. Both the Fuller Action FAC and the cross-complaint alleged breaches of the same Management Agreements. The express contractual indemnity claim thus qualifies as a related cause of action subject to the compulsory cross-complaint statute.

The Court also rejects the Sequoia Parties' argument that the cross-complaint claims do not qualify as a related action because cross-defendant Doug Smith was not a party plaintiff in the Fuller Action, and therefore none of the cross-complaint claims against Smith are subject to the compulsory cross-complaint statute. The cross-claims in the cross-complaint seek to hold Smith liable as an alter ego of all of the Fuller Cross-Defendants and for tortious conduct he committed on behalf of the Fuller Cross-Defendants. The Sequoia Parties have not cited any independent claims alleged in the cross-complaint against Smith that are not based solely on his relationship to the Fuller Cross-Defendants and in turn, the Fuller Cross-Defendants' relationship to the Sequoia Parties under the Management Agreements.

The second cause of action for declaratory relief seeks a declaration regarding the nature and scope of the Fuller Cross-Defendants' indemnity, defense, and hold harmless duties under the Management Agreements, essentially based on the same factual predicate on which the express contractual indemnity cause of action is alleged. The same analysis regarding the accrual of the declaratory relief cause of action based on the parties' contractual duties under the indemnity, defense, and hold harmless provisions in the Management Agreements applies to the second cause of action for declaratory relief; that cause of action also meets the "related cause of action" definition to make it a compulsory cross-claim that had accrued when the Sequoia Parties filed their answer to the FAC in the Fuller Action in December 2024.

The Sequoia Parties point to authority that where a compulsory cross-complaint is not filed at the same time as the answer, leave of court may be obtained to file the late cross-complaint. (Code Civ. Proc. § 428.50(c) ["A party shall obtain leave of court to file any cross-complaint except one filed within the time specified in subdivision (a) or (b). Leave may be granted in the interest of justice at any time during the course of the action."].) Code of Civil Procedure section 426.50 provides that "[a] party who fails to plead a cause of action subject to the requirements of this article . . . may apply to the court for leave . . . to file a cross-complaint, to assert such cause at any time during the course of the action." (Code Civ. Proc. § 426.50 [emphasis added].) Inadvertence, mistake, neglect, or other cause does not preclude the Court from granting leave to file the cross-complaint. (Code Civ. Proc. § 426.50.) So long as the party acted in good faith, the Court "shall grant, upon such terms as may be just to the parties" leave to file the cross-complaint. (*Id.* [emphasis added].) These authorities address a party obtaining leave to file a late cross-complaint in the action in which the compulsory cross-complaint was required to be filed. The authorities are therefore inapposite, except to support that, to the extent the cross-complaint as a whole or any of the individual causes of action are compulsory cross-claims that had to be filed in the Fuller Action, the Sequoia Parties may have a remedy under those statutes to seek leave to pursue the claims as late-filed compulsory cross-claims in the Fuller

Action.

The general demurrers by the Cross-Defendants to the first and second causes of action based on the bar of Code of Civil Procedure section 426.30(c) for purposes of this action are **sustained, without leave to amend** on this ground, but **without prejudice** to any relief the Sequoia Parties may seek in the Fuller Action to obtain leave to file a late compulsory cross-complaint in that case.

2. Equitable Indemnity and Contribution and Declaratory Relief - Tort

The causes of action in the cross-complaint include claims for equitable indemnity and contribution. The Fuller Plaintiffs allege in the Fuller Action FAC the filing of the Ross Class Action as one of the facts supporting the Fuller Plaintiffs' claims of negligence and mismanagement of properties by the Sequoia Parties. (Fuller Action FAC ¶ 41.) Nevertheless, the claims the Sequoia Parties assert in this case for equitable indemnity and contribution are based on the existence of any liability in this action to the Ross Class Action parties, so it is less clear that the equitable indemnity, contribution, and declaratory relief – tort claims constitute related causes of action under Code of Civil Procedure section 426.10. Even if they do, for the reasons explained, the claims are not compulsory cross-claims that had to be filed with the Sequoia Parties' answer in the Fuller Action.

Claims for equitable indemnity do not accrue until liability against the indemnitee has been established and the indemnitee has paid the liability or judgment. (*Western Steamship Lines, Inc. v. San Pedro Peninsula Hospital* (1994) 8 Cal.4th 100, 110 [" ' [A] fundamental prerequisite to an action for partial or total equitable indemnity is an actual monetary loss through payment of a judgment or settlement.' [Citation.]"]; *E. L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497, 506 ["It is well settled that a cause of action for implied indemnity does not accrue or come into existence until the indemnitee has suffered actual loss through payment." (Emphasis added.); *Valley Circle Estates, supra*, 33 Cal. 3d at 611 ["A] cause of action for indemnity does not accrue until the indemnitee has suffered a loss through payment of an adverse judgment or settlement. . . . [¶] '[The] governing authorities, both in California and throughout the country, uniformly hold that a tort defendant's equitable indemnity action is separate and distinct from the plaintiff's tort action.' [Citations omitted.]"]].)

A claim for contribution also does not accrue until a party has paid more than its fair share of a common obligation. (*Jackson v. Lacy* (1940) 37 Cal.App.2d 551, 559 [claim for contribution accrues on, but not before, a party pays for more than its share of a common obligation]; Civil Code section 1432 ["Except as provided in Section 877 of the Code of Civil Procedure, a party to a joint, or joint and several obligation, who satisfies more than his share of the claim against all, may require a proportionate contribution from all the parties joined with him." (Emphasis added.)].) Until the party claiming a right to contribution has actually paid something, the party does not have a contribution claim for recovery against other co-obligors. (*Hosking v. Spartan Properties, Inc.* (1969) 275 Cal. App. 2d 152, 157.)

Further, the California Supreme Court has recognized that equitable indemnity claims may be filed as separate actions, and thus an equitable indemnity claim is not a compulsory cross-claim in the underlying action to determine liability. (*E. L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497, 506.) There is no reason why the same rationale does not apply to a claim for equitable contribution.

These authorities support that the equitable indemnity and contribution claims alleged in the third and fourth causes of action are not compulsory cross-claims that were required to be filed as a compulsory cross-complaint in the Fuller Action. In those causes of action, the Sequoia Parties seek indemnity and contribution for any liability that may be determined against them or paid in settlement based on the Ross Class Action Plaintiff claims in this case, which had not accrued as of the time they answered the Fuller Action FAC. (Code Civ. Proc. § 426.30(a).)

The fifth cause of action for declaratory relief seeks a declaration regarding the nature and scope of the equitable indemnity and contribution obligations the Fuller Cross-Defendants have to the Sequoia Parties, if the Sequoia Parties are liable for the claims alleged against them in this case by the Ross Class Action Plaintiffs. The fifth cause of action is therefore similarly founded on, and subject to, a determination of the underlying liability the Sequoia Parties may have in this action. The fifth cause of action also had not accrued as of December 2024 when the Sequoia Parties filed their answer to the Fuller FAC. (Code Civ. Proc. § 426.30(a).)

The general demurrers to the third, fourth, and fifth causes of action on the ground that they are barred under Code of Civil Procedure section 426.30(a) are **overruled**.

B. Contractual Indemnity (1st C/A)

The cross-complaint alleges a breach of contract in two counts, both based on the same provision of the Management Agreements. The Sequoia Parties allege the Management Agreements provide that the Fuller Cross-Defendants agreed to "indemnify and defend" the Sequoia Parties and hold them harmless from "any and all Claims" they may "suffer or incur arising out of or in connection with any action taken or omitted to be taken by Owner or any Owner Party in connection with, the management and operation of the Property **if such action or omission is otherwise attributable to the negligence, bad faith, fraud, misconduct, criminal act or breach in any material respect of this Agreement by Owner or any of the Owner Parties.**" (X-Compl. ¶¶ 50, 58 [emphasis added].)

Count One alleges the Fuller Cross-Defendants breached their duty to "indemnify" the Sequoia Parties under the express contractual indemnity. They allege they tendered their "defense and indemnity" to the Fuller Cross-Defendants, but that the Fuller Cross-Defendants' tender "has not been responded to effectively meaning they have denied each of the Cross-Complainants' tenders of defense and indemnity." (X-Compl. ¶ 53.) Count Two alleges the Fuller Cross-Defendants breached their duty to defend under the same contractual provision and hold the Sequoia Parties' harmless under the Management Agreements, and they allege the claims alleged by Plaintiffs in this action "are caused by the active negligence and intentional conduct" of the Fuller Cross-Defendants, triggering the duty to defend. (X-Compl. ¶¶ 59, 61.)

The demurring parties contend that the cross-complaint does not state these causes of action because the indemnity provision in the Management Agreements is unenforceable under Civil Code sections 1668 and 2773, statutes which invalidate certain exculpatory and indemnity agreements. (Civ. Code § 1668 ["All contracts which have for their object, directly or indirectly, to exempt anyone from responsibility for his own fraud, or willful injury to the person or property of another, or violation of law, whether willful or negligent, are against the policy of the law."]; Civ. Code § 2773 ["An agreement to indemnify a person against an act thereafter to be done, is void, if the act be known by such person at the time of doing it to be unlawful." (Emphasis added.)].)

The California Supreme Court has held that "Section 1668 applies to contractual exemptions from liability, not to indemnity contracts. [Citations omitted.]" (*Safeco Ins. Co. v. Robert S.* (2001) 26 Cal. 4th 758, 767 [addressing an insurance contract with an indemnity provision and finding Civil Code section 1668 did not apply to that contract].) (*See also Smoketree-Lake Murray v. Mills Concrete Constr. Co.* (1991) 234 Cal. App. 3d 1724, 1734-1735 [" 'Indemnity may be defined as the obligation resting on one party to make good a loss or damage another party has incurred. [Citation.]" [Citations omitted.] Indemnity, involving an obligation to an injured third party, is distinct from an exculpatory clause or 'exemption' from liability obtained from the injured party. [Citations omitted.]").) These authorities support that Civil Code section 1668 does not apply to the indemnity provision in this case.

As to Civil Code section 2773, nothing on the face of the cross-complaint or in the terms of the indemnity and defense provision on its face purports to indemnify the Sequoia Parties for future acts that the Sequoia Parties knew were unlawful. (Civ. Code § 2773.) To the contrary, the demurring parties argued that the Sequoia Parties were responsible for complying with applicable laws and ordinances under section 3.5 of the Management Agreements, which undermines an inference that the indemnity provision is intended to indemnify the Sequoia Parties for future conduct under the Management Agreement which was known by the Sequoia Parties to be unlawful. (Opp. p. 8, citing X-Compl. Exh. A, section 3.5; Civ. Code § 2773.)

Nothing on the face of the indemnity agreement purports to shift liability for unlawful actions of the Sequoia Parties to the Fuller Cross-Defendants. Rather, the language of the indemnity agreement requires the Fuller Cross-Defendants to indemnify, defend, and hold the Sequoia Parties harmless for acts or omissions attributable to the "negligence, bad faith, fraud, misconduct, criminal act or breach in any material respect of this Agreement by Owner or any of the Owner Parties," which appears to be wholly consistent with Civil Code sections 1668 and 2773.

Further, the demurring parties do not cite any allegations of the cross-complaint in which the Sequoia Parties have alleged or admitted that the Sequoia Parties committed any unlawful or fraudulent acts or other intentional wrongdoing for which they seek indemnity. The cross-complaint alleges that cross-defendant Smith demanded and pressured the Sequoia Parties to engage in illegal conduct with regard to the tenants and to violate applicable law, but that they "refused to comply with SMITH's illegal demands based on their ethical obligations and legal duties to tenants and under applicable law," an allegation the Court accepts as true on demurrer. (X-Compl. ¶ 34.) (See also X-Compl. ¶ 36.)

To support the demurrer, the demurring parties instead ask the Court to accept as true allegations of the Ross Class Action Plaintiffs made in the Ross Class Action FAC. Judicial notice of the Ross Class Action FAC for purposes of ruling on the demurrer does not extend to the truth of allegations in a different pleading where the truth of the content is reasonably disputable. (*StorMedia, Inc., supra*, 20 Cal.4th at 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co., supra*, 148 Cal.App.4th at 113-115.) The demurring parties cite no authority which would require or allow the Court to accept as true allegations by different parties, in particular the Sequoia Parties' adversaries in this litigation, made in a different pleading in ruling on a demurrer to the cross-complaint of the Sequoia Parties.

Further, the Ross Class Action FAC in any event does not allege only that the Sequoia Parties

committed intentional wrongdoing or "bad faith" mishandling of security deposits in violation of Civil Code section 1950.5, which might make the indemnity and defense provision of the Management Agreements unenforceable against them as to that conduct. The claims made in the Ross Class Action against the Sequoia Parties also include claims of mere negligence by the Sequoia Parties. (See *generally* Ross Class Action FAC ¶ 78, subpara. 2 [listing common questions of fact and law, including item 11 "Whether Defendants' acted negligently in either: (i) failing to provide statutorily required substantiation for charges against the Plaintiff Class' retained security deposits; (ii) failing to return any portion of Plaintiff Subclass No. 1's retained security deposits within 21 days of vacating the leased premises; or (iii) reporting Plaintiff Subclass No. 2 to collection agency(ies)."].) Further, no adjudication has been made against the Sequoia Parties at this point as to any bad faith or unlawful conduct by them.

Civil Code sections 1668 and 2773 do not invalidate the indemnity and defense provision in the Management Agreements as a matter of law based on the face of the allegations of the cross-complaint. The general demurrer by all Cross-Defendants to the first cause of action on this ground is **overruled**.

C. Declaratory Relief – Contract (2nd C/A)

Code of Civil Procedure section 1060 provides that a "person interested . . . under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property . . . may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract." (Code Civ. Proc. § 1060 [emphasis added].) The demurring parties argue that the claim for declaratory relief by a determination of what duties of indemnification and defense the Fuller Cross-Defendants owe to the Sequoia Parties fails because the breach of contract claim fails.

Further, a party may seek declaratory relief "either alone or with other relief." (Code Civ. Proc. § 1060.) A declaratory relief claim states a cause of action even if, based on the allegations of the complaint, the facts support a judicial declaration adverse to the party seeking declaratory relief. (*Nede Management, Inc. v. Aspen American Ins. Co.* (2021) 68 Cal.App.5th 1121, 1130 [addressing an order sustaining a demurrer to a standalone cause of action for declaratory relief as to whether plaintiffs' insurer had a conflict of interest that required appointment of *Cumis* counsel in an underlying tort lawsuit against the plaintiffs defended and settled by the insurer, determined adverse to plaintiffs]; *Bennett v. Hibernia Bank* (1956) 47 Cal.2d 540, 549–550 ["It is the general rule that in an action for declaratory relief the complaint is sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties . . . and requests that the rights and duties be adjudged. [Citation.] If these requirements are met, the court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration."].)

The demurring parties do not contend that the cross-complaint does not allege the necessary elements to state a claim for declaratory relief, except to the extent they argue the breach of contract cause of action does not state a claim for relief. The Court has concluded that the breach of contract

claim states a cause of action, which undermines the basis for the demurrer to this cause of action. Under the foregoing authority, the cross-complaint does not fail to state a cause of action for declaratory relief solely because the declaration of rights may be adverse to the cross-complainants.

The general demurrer to the second cause of action on this ground is **overruled**.

D. Equitable Indemnity and Contribution (3rd and 4th C/As)

The demurring parties contend these causes of action fail because the Ross Class Action Plaintiffs have alleged intentional torts against the Sequoia Parties, and therefore, the Sequoia Parties are not entitled to equitable relief through equitable indemnity or contribution for their intentional wrongdoing. As addressed in the general demurrer to the first cause of action based on Civil Code sections 1668 and 2773, the demurring parties have cited no authority that permits much less requires the Court to assume the truth of allegations made by other parties in a separate complaint in ruling on a demurrer to the current cross-complaint. Nothing on the face of the cross-complaint concedes the truthfulness of the allegations made by the Ross Class Action Plaintiffs, and those claims have not been adjudicated with a determination that the Sequoia Parties engaged in any intentional wrongdoing so as to foreclose the equitable indemnity and contribution claims as a matter of law. Further, the Ross Class Action FAC also alleges negligent conduct by the Sequoia Parties, and to the extent liability exists against the Sequoia Parties based on negligence, claims for equitable indemnity and contribution would not be barred.

The general demurrers to the third and fourth causes of action on this ground is **overruled**.

E. Declaratory Relief – Tort (5th C/A)

The fifth cause of action also seeks declaratory relief but on a different basis than the second cause of action. Specifically, the Sequoia Parties seek a declaration of the nature and scope of any equitable indemnity and contribution rights they may have against Smith and the Fuller Cross-Defendants for any liability they may have based on the claims against them in the Ross Class Action FAC.

The demurring parties argue three reasons why a general demurrer to the fifth cause of action should be sustained: (1) the claim is "wholly derivative" of the third and fourth cause of action claims which they assert are defective; (2) declaratory relief is not available to redress past wrongs, and the parties' business relationship has ended, so they contend any declaratory relief would not operate prospectively; and (3) the claim is superfluous as merely duplicative of issues raised by the third and fourth causes of action.

As to the first ground, the Court has found that the claims for equitable indemnity and contribution at this stage are not precluded as a matter of law. It is not defective because of any defect in the equitable indemnity and contribution causes of action.

While the Court accepts the proposition that declaratory relief must operate prospectively, the request for declaratory relief in this case seeks a declaration regarding rights and obligations of the Cross-Defendants to the Sequoia Parties based on potential liability that may be established in the future, and specifically whether the Fuller Cross-Defendants' insurance carrier and the Fuller Cross-Defendants directly are obligated to pay the Sequoia Parties for any negligence or liability that exceeds the Sequoia Parties' own fault or negligence. (X-Compl. ¶¶ 89-91.)

As to the third ground, the Court finds that the fifth cause of action for declaratory relief is not superfluous and unnecessary in light of the additional allegations in the fifth cause of action which address not only the existence and scope of the equitable indemnity and contribution rights the Sequoia Parties may have, but also the source of payment for any equitable indemnity and contribution obligations the Cross-Defendants may be determined to have. The Sequoia Parties specifically ask for a determination that, if they are entitled to payment for any equitable indemnity or contribution, such payments must be made by the Fuller Cross-Defendants' insurer and directly by the Fuller Cross-Defendants. (X-Compl. ¶ 90.)

The general demurrer to the fifth cause of action on these grounds is **overruled**.

F. General Demurrer to the Complaint in Its Entirety and All Causes of Action as to Cross-Defendant Smith – Sufficiency of Alter Ego Allegations

The California Supreme Court set forth the two general elements necessary to allege liability based on piercing the corporate veil under an alter ego theory. "There is no litmus test to determine when the corporate veil will be pierced; rather the result will depend on the circumstances of each particular case. There are, nevertheless, two general requirements: '(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.' [Citation omitted.] And 'only a difference in wording is used in stating the same concept where the entity ought to be held liable is another corporation instead of an individual.' [Citation omitted.]" (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) (*See also Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 415.)

" 'Ordinarily, a corporation is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations. [Citations.] . . . Under the alter ego doctrine . . . when the corporate form is *used* to perpetrate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners. [Citations.]' [Citations omitted, italics in original.] [¶] Two requirements must be met to invoke the alter ego doctrine: (1) '[T]here must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist'; and (2) 'there must be an *inequitable result* if the acts in question are treated as those of the corporation alone.' [Citation omitted, italics in original.].) (*Turman v. Superior Court* (2017) 17 Cal.App.5th 969, 980-981.) (*See also Arnold v. Browne* (1972) 27 Cal.App.3d 386, 394.)

In *Leek v. Cooper* (2011) 194 Cal.App.4th 399, the Court explained, "A complaint must set forth the facts with sufficient precision to put the defendant on notice about what the plaintiff is complaining and what remedies are being sought. [Citation omitted.] To recover on an alter ego theory, a plaintiff need not use the words 'alter ego,' but must allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor. [Citation omitted.] An allegation that a person owns all of the corporate stock and makes all of the management decisions is insufficient to cause the court to disregard the corporate entity. [Citation omitted.]" (*Id.* at 415 [emphasis added].) Further, the Sequoia Parties are only required to allege ultimate facts, not

evidentiary facts, in order for the cross-complaint to adequately state the alter ego claim against Smith. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235-236 [holding the alter ego allegations were sufficient where the complaint alleged that "Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice."].)

The demurring parties argue that the Sequoia Parties' allegations against Smith are "false" because he does not own any of the real properties, and they argue that the Sequoia Parties admitted in the cross-complaint that they violated the law by agreeing to the illegal conduct Smith was demanding. (Reply p. 8.) Neither argument accurately reflects the allegations of the cross-complaint. The Sequoia Parties allege that Smith is the owner of the entities that are the property owners, and that he is the alter ego of those entities based in part on that ownership. (X-Compl. ¶¶ 27-29.) The Sequoia Parties allege that they "refused to comply" with Smith's demands that they engage in illegal conduct which led to the termination of the parties' business relationship. (X-Compl. ¶¶ 34-36.)

The Court also rejects the demurring parties' argument that the cross-complaint fails to allege facts to support alter ego liability against Smith. The cross-complaint does far more than merely make conclusory allegations regarding Smith's alter ego status or allege Smith's ownership or control of the Fuller Cross-Defendants. (X-Compl. ¶¶ 27-38.) They allege numerous facts regarding Smith's commingling of corporate assets, use of corporate funds for his personal benefit, failure to maintain the corporate formalities and use of the Fuller Cross-Defendants as mere shells or conduits for the conduct of his individual business ventures, among other allegations. (X-Compl. ¶ 27.) They allege that (a) Smith exercised "complete control and direction" over the Fuller Cross-Defendants; (b) Smith personally directed the Sequoia Parties to engage in "illegal acts and practices" related to the tenants and pressured the Sequoia Parties to perform unlawful acts despite being informed of the applicable laws; (c) Smith's "individual acts" regarding the foregoing and in subsequently causing the termination of the business relationship between the Sequoia Parties and the Fuller Cross-Defendants is tortious and makes him individually liable; (d) Smith's conduct was intentional and willful; and (f) his personal participation in directing the unlawful acts "strips him of any protection afforded by the corporate form and renders him personally liable for the damages caused" to the Sequoia Parties. (FAC ¶¶ 29-38.) These allegations meet the requirements for alleging facts to support alter ego liability against Smith under the applicable law.

The general demurrer by Smith to the cross-complaint in its entirety for failure to state a cause of action against him is **overruled**.

9. 9:00 AM CASE NUMBER: C24-00633
CASE NAME: ELI HAZAN VS. VOLKSWAGEN GROUP OF AMERICA, INC.

FILED BY:
TENTATIVE RULING:

This hearing is continued, *sua sponte*, to October 28, 2026 at 9:00 a.m. No appearance is required at the hearing on September 9, 2026 at 9:00 a.m. Briefing is closed.